Registration number: 03320875

Howden Joinery Holdings Ltd

Annual Report and Financial Statements

for the Period from 27 December 2015 to 24 December 2016

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Howden Joinery Holdings Ltd

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Howden Joinery Holdings Ltd

Company Information

Directors	Theresa Keating Mark Robson Matthew Ingle
Company secretary	Forbes McNaughton
Registered office	40 Portman Square London W1H 6LT
Auditor	Deloitte LLP 2 New Street Square London United Kingdom

Howden Joinery Holdings Ltd

Strategic Report for the Period from 27 December 2015 to 24 December 2016

The directors present their strategic report for the period from 27 December 2015 to 24 December 2016.

The Company's principal activity is described in the Directors' Report, which is located immediately below this Strategic Report. The Company's financial Key Performance Indicators are as shown in the Profit and Loss Account and Balance Sheet. We do not consider there to be any non-financial Key Performance Indicators relevant to the Company, other than those listed in the Group annual report, as detailed in the paragraph immediately below.

The Group manages its operations on a Group basis and therefore prepares a consolidated group annual report and accounts, including a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group annual report on the pages listed:

- Fair review of the business (pgs14-19)
- Description of the principal risks and uncertainties, facing the Group and its subsidiary undertakings (pgs 22-26)
- Financial and non-financial KPIs (pgs 17-18, 32-38)
- Future developments (pgs 7, 17)
- Information about environmental matters, social, community and human rights issues (pgs 29-41)
- Description of business model and strategy (pgs 8-13)
- Information in relation to Group employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons (pgs 57, 79, 95)

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

Approved by the Board on 19 September 2017 and signed on its behalf by:

Theresa Keating
Director

Howden Joinery Holdings Ltd

Directors Report for the Period from 27 December 2015 to 24 December 2016

The directors present their annual report and the audited financial statements for the period from 27 December 2015 to 24 December 2016.

Directors of the company
The directors who held office during the period were as follows:

Theresa Keating

Mark Robson

Matthew Ingle

Principal activity
The principal activity of the company is Holding Company

Employees
The Company had no employees during the current period and staff costs amounted to nil.

Dividends
During the current period, a dividend of £192.5m was proposed and paid. During the prior period, a dividend of £351.4m was proposed and paid.

Financial instruments

Objectives and policies, price risk, credit risk, liquidity risk and cash flow risk

These are managed on a Group basis. Further information can be found on pages 18-19 of the Howden Joinery Group Plc 2016 Annual Report and accounts, which is available at
http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp

Political donations
The Company did not make any political donations in the current or prior period.

Going concern
After making enquiries and taking into consideration the profitability and financial position of the Company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future based on a written commitment of financial support from its ultimate parent company, Howden Joinery Group Plc. The directors continue to adopt the going concern basis in preparing the financial statements.

Disclosure of information to the auditors
Each director has taken steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information. The directors confirm that there is no relevant information that they know of and of which they know the auditor is unaware.

Reappointment of auditors
Deloitte LLP have indicated their willingness to be reappointed for another term and will be deemed to be reappointed in accordance with s485 - 488 of the Companies Act 2006.

Approved by the Board on 19 September 2017 and signed on its behalf by:

TKeating

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Theresa Keating
Director

Howden Joinery Holdings Ltd

Statement of Directors' Responsibilities

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law), including FRS 101 'Reduced Disclosure Framework' ('FRS 101'). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Howden Joinery Holdings Ltd

Independent Auditor's Report

We have audited the financial statements of Howden Joinery Holdings Ltd for the period from 27 December 2015 to 24 December 2016, ... which comprise Profit and Loss Account, the Statement of Comprehensive Income, the Balance Sheet, the Statement of Changes in Equity and the related notes 1 to 14. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), including FRS 101 "Reduced Disclosure Framework".

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditor

As explained more fully in the Statement of Directors' Responsibilities (set out on page 5), the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's (APB's) Ethical Standards for Auditors.

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of: whether the accounting policies are appropriate to the company's circumstances and have been consistently applied and adequately disclosed; the reasonableness of significant accounting estimates made by the directors; and the overall presentation of the financial statements. In addition, we read all the financial and non-financial information in the Annual Report to identify material inconsistencies with the audited financial statements and to identify any information that is apparently materially incorrect based on, or materially inconsistent with, the knowledge acquired by us in the course of performing the audit. If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report.

Opinion on the financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 24 December 2016 and of its profit for the period then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Strategic Report and Directors Report for the financial period for which the financial statements are prepared is consistent with the financial statements.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Edward Hanson

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Edward Hanson (Senior Statutory Auditor)
For and on behalf of Deloitte LLP, Statutory Auditor

2 New Street Square
London
United Kingdom

19 September 2017

Howden Joinery Holdings Ltd

Profit and Loss Account for the Period from 27 December 2015 to 24 December 2016

	Note	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Turnover	4	192,492	350,539
Administrative expenses		(14)	(25)
Operating profit		192,478	350,514
Profit before tax		192,478	350,514
Tax on profit on ordinary activities	7	1	5
Profit for the period		192,479	350,519

The above results were derived from continuing operations.

Howden Joinery Holdings Ltd

Statement of Comprehensive Income for the Period from 27 December 2015 to 24 December 2016

	Note	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Profit for the period		192,479	350,519
Total comprehensive income for the period		192,479	350,519

The notes on pages 12 to 17 form an integral part of these financial statements.

Howden Joinery Holdings Ltd

(Registration number: 03320875)
Balance Sheet as at 24 December 2016

	Note	24 December 2016 £ 000	26 December 2015 £ 000
Fixed assets			
Investments	8	105,000	105,000
Current assets			
Debtors	9	335,300	136,616
Income tax asset	7	1	5
		335,301	136,621
Creditors: Amounts falling due within one year			
Trade and other payables	11	(440,314)	(241,641)
Net current liabilities		(105,013)	(105,020)
Net liabilities		(13)	(20)
Capital and reserves			
Retained earnings		(13)	(20)
Shareholders' deficit		(13)	(20)

Approved by the Board on 19 September 2017 and signed on its behalf by:

TKeating

Theresa Keating
Director

Howden Joinery Holdings Ltd

Statement of Changes in Equity

	Retained earnings £ 000	Total £ 000
At 27 December 2015	(20)	(20)
Profit for the period	192,479	192,479
Total comprehensive income	192,479	192,479
Dividends	(192,472)	(192,472)
At 24 December 2016	(13)	(13)

	Retained earnings £ 000	Total £ 000
At 27 December 2014	854	854
Profit for the period	350,519	350,519
Total comprehensive income	350,519	350,519
Dividends	(351,393)	(351,393)
At 26 December 2015	(20)	(20)

The notes on pages 12 to 17 form an integral part of these financial statements.

1 General information

The company is a private company limited by share capital incorporated and domiciled in England.

The address of its registered office is:
40 Portman Square
London
W1H 6LT
England

These financial statements were authorised for issue by the Board on 19 September 2017.

2 Accounting policies

Summary of significant accounting policies and key accounting estimates
The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

Basis of preparation
These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework. They are prepared on the historical cost basis.

Summary of disclosure exemptions
As permitted by FRS 101, the Company has taken advantage of the disclosure exemptions available under that standard in relation to business combinations, share-based payment, non-current assets held for sale, financial instruments, capital management, presentation of comparative information in respect of certain assets, presentation of a cash-flow statement, standards not yet effective, impairment of assets and related party transactions.

Where relevant, equivalent disclosures have been given in the group accounts of Howden Joinery Group Plc. These group accounts are available to the public and can be obtained from this company's registered office or at http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp.

Going concern
The financial statements have been prepared on a going concern basis.

Exemption from preparing group accounts
The financial statements contain information about Howden Joinery Holdings Ltd as an individual company and do not contain consolidated financial information as the parent of a group.
The company is exempt under section 400 of the Companies Act 2006 from the requirement to prepare consolidated financial statements as it and its subsidiary undertakings are included by full consolidation in the consolidated financial statements of its parent, Howden Joinery Group Plc, a company incorporated in England.

Changes in accounting policy
None of the standards, interpretations and amendments effective for the first time from 27 December 2015 have had a material effect on the financial statements, other than FRS 101 whose effects are described in the relevant note to these accounts.

2 Accounting policies (continued)

Investments
Investments in securities are classified on initial recognition as available-for-sale and are carried at fair value, except where their fair value cannot be measured reliably, in which case they are carried at cost, less any impairment.

Unrealised holding gains and losses other than impairments are recognised in other comprehensive income. On maturity or disposal, net gains and losses previously deferred in accumulated other comprehensive income are recognised in income.

Interest income on debt securities, where applicable, is recognised in income using the effective interest method. Dividends on equity securities are recognised in income when receivable.

Share capital
Ordinary shares are classified as equity. Equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments. If payment is deferred and the time value of money is material, the initial measurement is on a present value basis.

Dividends
Dividend distribution to the company's shareholders is recognised as a liability in the company's financial statements in the period in which the dividends are approved by the company's shareholders.

3 Critical accounting judgements and key sources of estimation uncertainty

There are no critical accounting judgements or key sources of estimation uncertainty which impact the application of policies and amounts reported in these financial statements.

4 Revenue

The analysis of the company's revenue for the period from continuing operations is as follows:

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Dividends received	192,492	350,539

5 Directors' remuneration

No director received any remuneration for their services as a director of this company in either the current or prior period.

6 Auditors' remuneration

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Audit of the financial statements	7	6
Other fees to auditor		
All other tax advisory services	7	1

7 Income tax

Tax charged/(credited) in the income statement

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Current taxation		
UK corporation tax	(1)	(5)

The tax on profit before tax for the period is not the same as the standard rate of corporation tax in the UK (2015 - the same as the standard rate of corporation tax in the UK) of 20% (2015 - 20.25%).

The differences are reconciled below:

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Profit before tax	192,478	350,514
Corporation tax at standard rate	38,496	70,979
Decrease (increase) from effect of revenues exempt from taxation	(38,497)	(70,984)
Total tax credit	(1)	(5)

7 Income tax (continued)

On the 8 July 2015, the Chancellor of the Exchequer announced the reduction in the main rate of UK corporation tax to 19% for the year starting 1 April 2017 and a further reduction to 18% from 1 April 2020. These changes were substantively enacted in October 2015.

On the 16 March 2016, the Chancellor of the Exchequer announced a further 1% reduction to the previously announced 18% main rate of UK corporation tax to 17% from 1 April 2020. This change was substantively enacted in September 2016.

The company has capital losses of £81m (2015: £81m). These losses are available for offset against future UK chargeable gains. No deferred tax asset has been recognised in respect of these losses as no further utilisation is currently anticipated.

8 Investments

Subsidiaries	**£ 000**
Cost or valuation	
At 27 December 2014	552,306
Additions	5,000
At 26 December 2015	557,306
At 27 December 2015	557,306
At 24 December 2016	557,306
Provision	
At 27 December 2014	452,306
At 26 December 2015	452,306
At 27 December 2015	452,306
At 24 December 2016	452,306
Carrying amount	
At 24 December 2016	105,000
At 26 December 2015	105,000
At 27 December 2014	100,000

8 Investments (continued)

Details of the subsidiaries as at 24 December 2016 are as follows:

Name of subsidiary	Principal activity	Country of incorporation and principal place of business	Proportion of ownership interest and voting rights held	
			2016	2015
Howden Joinery Ltd	Trade kitchen furniture and joinery	Great Britain	100%	100%
Howden Joinery Corporate Services Ltd	Management Services	Great Britain	100%	100%
Howden Joinery People Services Limited	Employment company	Great Britain	100%	100%
Howden Joinery International Holdings Limited	Holding Company	Great Britain	100%	100%
Howden Kitchens Limited	Dormant	Great Britain	100%	100%
Galiform Limited	Dormant	Great Britain	100%	100%

9 Trade and other receivables

	24 December 2016 £ 000	26 December 2015 £ 000
Receivables from related parties	335,300	136,616

10 Share capital

Allotted, called up and fully paid shares

	24 December 2016		26 December 2015	
	No. 000	£ 000	No. 000	£ 000
Ordinary shares of £1 each				

The Company's share capital at the current and prior period end consisted of two £1 ordinary shares.

11 Trade and other payables

	24 December 2016 £ 000	26 December 2015 £ 000
Amounts due to related parties	440,314	241,641

12 Dividends

	24 December 2016 £ 000	26 December 2015 £ 000
Final dividend declared and paid in the period	192,472	351,393

This equates to a dividend per share of £96,236,000 (2015: £175,696,500)

13 Parent and ultimate parent undertaking

The company's immediate parent is Howden Joinery Group Plc.

The ultimate parent, who produces consolidated financial statements which include this company, is Howden Joinery Group Plc.

The most senior parent entity producing publicly available financial statements is Howden Joinery Group Plc. These financial statements are available upon request from 40 Portman Square, London, W1H 6LT, or http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp .

The ultimate controlling party is Howden Joinery Group Plc.

14 Transition to FRS 101

This is the first time that the Company has presented its financial statements under FRS 101 (Financial Reporting Standard 101) issued by the Financial Reporting Council. The following disclosures are required in the year of transition. The last financial statements under a previous GAAP (pre-2015 UK GAAP) were for the 52 week period ended 26 December 2015 and the date of transition to FRS 101 was therefore 27 December 2014.

There have been no adjustments on transition to FRS 101.